

ACME Corp. — Q2 2024 Financial & Operations Report

Prepared by: Finance Dept. | Date: July 15, 2024 | CONFIDENTIAL

1. Executive Summary

This report summarizes the financial performance and operational metrics for Q2 2024. Overall revenue grew by 12% YoY, driven primarily by the North America segment. However, COGS increased due to supply-chain disruptions, compressing gross margins by ~2pp. The company remains on track to meet its full-year guidance of \$480M revenue.

2. Revenue Breakdown by Region

Region	Q2 2023 (\$M)	Q2 2024 (\$M)	YoY Growth
North America	85.2	97.6	+14.5%
EMEA	42.1	45.8	+8.8%
APAC	23.4	28.0	+19.7 %
latin america	11.0	10.9	-0.9%
TOTAL	161.7	182.3	+12.7%

3. Key Observations

- APAC is the fastest growing region at +19.7%. Further investment is recommended.
- Latin America declined slightly (-0.9%) due to FX headwinds; local pricing review is underway.
- EMEA growth of 8.8% is below target (10%); sales leadership review scheduled for Q3.

4. Expense & Margin Analysis

Total operating expenses in Q2 2024 reached \$138.5M, up from \$122.3M in Q2 2023. The primary drivers were increased R&D headcount (+18 FTEs) and a one-time restructuring charge of \$3.2M related to the EMEA re-organization.

Metric	Q2 2023	Q2 2024	Delta
Gross Margin	58.3%	56.1%	-2.2pp
Operating Margin	24.6%	23.9%	-0.7pp
Net Margin	18.2%	17.5%	-0.7pp
EBITDA Margin	29.1%	28.4%	-0.7pp

5. Headcount Summary (as of June 30, 2024)

Total global headcount stands at 1,284 employees. Engineering: 412 | Sales & Marketing: 318 | G&A: 201 | Operations: 353. Attrition rate for Q2 was 4.1% (annualized ~16.4%), above the 14% target. HR is launching a retention initiative in Q3.

6. Product Performance

6.1 Top Products by Revenue

Product	Category	Q2 Rev (\$M)	Units Sold	Avg Price (\$)
CloudBase Pro	SaaS	54.2	12,400	4,371
DataSync Lite	SaaS	31.8	48,200	660
On-Prem Enterprise Suite	License	28.5	320	89,063
Professional Services	Services	22.1	N/A	N/A
Hardware Appliance X100	Hardware	18.7	1,850	10,108
Support & Maintenance	Services	27.0	N/A	N/A

7. Risks & Outlook

Key risks for H2 2024 include: (1) continued supply chain pressure on hardware margins; (2) potential economic slowdown in EMEA affecting SaaS renewal rates; (3) intensifying competition in the SMB segment from low-cost entrants. Management reaffirms full-year guidance of \$480M revenue and 24% operating margin.

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